

Daniel, Hirshleifer, and Subrahmanyam (1998) propose a feedback model that incorporates investor overconfidence and biased self-attribution. Overconfidence is among the most robust empirical findings in experimental psychology. Kahneman (2011) said, “We are prone to overestimate how much we understand about the world and to underestimate the role of chance in events.” Overconfidence can lead to suboptimal outcomes. It is the strongest swimmers who often drown.

Overconfidence also triggers hindsight bias, where individuals believe past events are more predictable than they really, as well as self-attribution bias. Self-attribution occurs when investors attribute success to their own skills but failures to external factors or bad luck. Investors then buy overconfidently, which pushes up prices. They may afterward overreact to any confirmatory news, which accentuates price trends and sustains positive momentum.

The Barberis et al. (1998) and Daniel et al. (1998) explanations of momentum profits are based on market inefficiencies due to investor behavior. Hong and Stein (1999), on the other hand, attribute momentum profits to market imperfections. They argue that the market contains two types of traders. The first are news watchers who witness the gradual diffusion of news. This leads initially to short-term price underreaction in price movement, which is later reversed. The second type of traders use momentum to take advantage of the profits left behind by the news watchers. They jump on the momentum bandwagon once it gets going in order to profit from the continued diffusion of information. This is how initial underreaction is later followed by delayed overreaction, with investors chasing after returns.

Duffie (2010) attributes slow price movement to investor inattention rather than to the slow diffusion of news. Chan, Jegadeesh, and Lokonishok (2012) say that the reason relative strength momentum works best over 6 to 12 months is that it takes that long for analysts to adjust to new information. Mitchell, Pedersen, and Pulvino (2007) say that market frictions and slow-moving arbitrage capital impede price discovery, which leads to a drop and then a rebound in prices.

DISPOSITION EFFECT